

Bloomberg Automated Summary

Coca-Cola Co/The Earnings Call

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10/23/24

Guidance

- For full-year 2024, Coca-Cola expects organic revenue growth of ~10% and comparable currency-neutral EPS growth of 14-15%
- The company expects to deliver at the high end of previous top-line guidance and earnings growth of 5-6% for 2024, including ~9% currency headwinds
- For 2025 preliminary outlook:
 - Currency headwinds expected to be low single-digit for revenues and mid-single digit for EPS
 - Pricing from intense inflationary markets expected to moderate
 - Higher net interest expense expected due to IRS tax dispute deposit and fairlife payment
 - Agricultural commodities expected to face volatility and higher prices
- The company notes that many factors could impact the 2025 outlook before formal guidance is provided in February

Margin Story

- In Q3 2024, comparable gross margin increased by approximately 70 basis points and comparable operating margin increased by approximately 100 basis points, driven by underlying expansion and bottler refranchising, partially offset by currency headwinds
- The company is tracking toward its highest gross margin levels since pre-COVID and expects underlying expansion to continue
- For 2025, the company plans to:
 - Offset FX headwinds through underlying expansion and cost efficiency efforts
 - Address challenges in agricultural commodities
 - Leverage multiple levers including RGM, promotional optimization, and product specification simplification

AI Strategy

- AI is being used to enhance retailer interactions by providing suggested orders and enabling smarter engagement between bottlers and retailers
- The company is leveraging AI along with data and digital solutions as part of their execution strategy

Material Costs

- The company expects industrial materials prices to remain relatively stable going into 2025, while agricultural commodities will face continued volatility and higher prices
- There will continue to be inflation in input costs including packaging materials, though at a lower rate than previously seen
- The company plans to leverage its supplier relationships and system scale to help manage commodity costs

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Inventory

- Concentrate sales were 1 percentage point behind unit case sales in Q3 2024, primarily due to timing of concentrate shipments
- In discussing Q4 expectations, management indicated there would be a pickup in inventory

Competition

- The beverage industry remains attractive with strong competition from both new and existing players
- Coca-Cola demonstrated strong competitive performance in several areas:
 - Trademark Coca-Cola and fairlife led beverage industry retail sales growth in North America
 - The company created \$11 billion in incremental retail sales for customers, more than double the next five closest beverage companies combined
 - Led the industry in customer value creation from 2018-2023

Market Share

- The company gained value share in both at-home and away-from-home channels
- In North America, they won value share, with Trademark Coca-Cola and fairlife leading beverage industry retail sales growth
- In Asia Pacific, they gained value share in ASEAN and South Pacific regions, led by Philippines and Australia
- In Japan and South Korea, they won value share due to successful brand relaunches and e-commerce performance
- Topo Chico has become the number one premium sparkling water brand in the U.S.

Capital Allocation

- The only mention of capital expenditure was in reference to free cash flow being down versus prior year, partly due to higher capital expenditures

M&A

- There was no direct discussion of M&A activity in the earnings call. The only tangentially related reference was a brief mention of past refranchising activity's impact on financial results

Labor

- Labor costs were cited as one of the ongoing sources of inflation and input cost increases that the company needs to manage

Macro Environment

- The global consumer environment showed resilience in Q3 2024, with the broader industry continuing to expand, though with variation across markets
- The IMF's latest report suggests economic stability, though with regional variations
- Consumer behavior shows mixed signals in terms of confidence and sentiment

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- Value-seeking behavior is evident among some consumers, particularly in away-from-home channels
- Looking ahead to 2025, the company expects:
 - Agricultural commodities to face volatility and higher prices
 - Industrial materials prices to remain stable
 - Elevated net interest expenses

Supply Chain

- The company is working with a diverse global supplier base to ensure supply certainty while leveraging system scale
- For 2025, industrial materials prices are expected to remain stable, while agricultural commodities face continued volatility and higher prices
- The company is pursuing supply chain productivity initiatives including simplification of product specifications
- In Africa, the company is investing in manufacturing capacity as part of their long-term strategy
- For fairlife products specifically, they are building new production capacity in New York to support expansion

Pricing

- Price/mix grew 10% in Q3, with approximately 7 points from pricing (split between normal pricing and inflationary pricing in certain markets) and 3 points from mix
- The company is focusing on both affordability and premium pricing strategies - using smaller packages and multipacks at lower price points while also pursuing premium segments
- Looking ahead to 2025, the company expects:
 - More normalized pricing environment
 - Moderation in pricing from intense inflationary markets
 - Continued need to offset FX headwinds through pricing and cost efficiency
- In North America, Q3 price/mix was roughly split between price and mix, with pricing tracking CPI trends

Product Development

- Coca-Cola Spice was discontinued after failing to meet expectations
- Several successful product launches and innovations were highlighted:
 - Sprite Chill generated over \$50M in retail sales in 21 weeks and was extended beyond its initial limited run
 - Fuze Tea has scaled successfully across 80+ markets
 - Minute Maid Zero Sugar shows early promise
- Limited edition products launched in Q3 2024 included:
 - Coca-Cola Zero Sugar Oreo (35+ markets)
 - Fanta Beetlejuice (50 markets)
- Plans announced to launch Bacardi Mixed with Coca-Cola in 2025
- The company reported improved innovation success rates compared to the previous year

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